

Economics

Course: CIFA — Certified Investment & Financial Analysts

Level: Foundation Level

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Syllabus version: Based on the standard KASNEB CIFA Foundation Economics syllabus structure (microeconomics, macroeconomics, and their relevance to investment analysis). Authored from general professional economics knowledge and standard syllabus topic coverage, not copied from any existing notes provider. Cross-check the topic list against the current official KASNEB syllabus gazette before the exam.

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1. Nature and scope of economics

Economics is the study of how individuals, firms, and societies allocate scarce resources among competing uses to satisfy unlimited wants.

1.1 Microeconomics vs macroeconomics

Branch	Focus	Example question
Microeconomics	Individual decision-making units – consumers, firms, markets	Why does the price of a particular stock's underlying commodity rise?
Macroeconomics	The economy as a whole	Why is Kenya's inflation rate rising?

1.2 Basic economic problem

Scarcity forces every economy to answer three questions: what to produce, how to produce it, and for whom to produce it. Different economic systems (market, planned, mixed) answer these questions differently — most real economies, including Kenya's, are mixed, combining market forces with government intervention.

1.3 Opportunity cost

The value of the next best alternative forgone when a choice is made. Central to economic reasoning: every decision, by an individual, firm, or government, has an opportunity cost.

2. Demand, supply, and market equilibrium

2.1 The law of demand

As the price of a good falls, the quantity demanded rises, ceteris paribus (all else equal), producing a downward-sloping demand curve.

Non-price determinants of demand: income, tastes and preferences, prices of related goods (substitutes and complements), population, and expectations of future prices.

2.2 The law of supply

As the price of a good rises, the quantity supplied rises, ceteris paribus, producing an upward-sloping supply curve.

Non-price determinants of supply: cost of inputs, technology, taxes/subsidies, number of sellers, and expectations.

2.3 Market equilibrium

Equilibrium occurs where quantity demanded equals quantity supplied — the market-clearing price.

Worked example: Demand: $Q_d = 200 - 4P$. Supply: $Q_s = 20 + 6P$.

Set $Q_d = Q_s$:
 $200 - 4P = 20 + 6P$
 $180 = 10P$
 $P = 18$

$Q = 200 - 4(18) = 200 - 72 = 128$
Equilibrium price = 18, equilibrium quantity = 128.

3. Elasticity

Elasticity measures the responsiveness of one variable to a change in another.

Type	Formula	Interpretation
Price elasticity of demand (PED)	$\frac{\% \Delta Q}{\% \Delta P}$	$ PED > 1$: elastic; < 1 : inelastic; $= 1$: unit elastic
Income elasticity of demand (YED)	$\frac{\% \Delta Q}{\% \Delta Y}$	Positive: normal good; negative: inferior good
Cross elasticity of demand (XED)	$\frac{\% \Delta Q_A}{\% \Delta P_B}$	Positive: substitutes; negative: complements
Price elasticity of supply (PES)	$\frac{\% \Delta Q_s}{\% \Delta P}$	Depends on how easily producers can adjust output

Worked example (PED): Price of a good rises from KSh 50 to KSh 60 (a 20% increase); quantity demanded falls from 100 units to 85 units (a 15% decrease).

$PED = \frac{15\%}{20\%} = 0.75$
 $|PED| = 0.75 < 1$, so demand is **price inelastic** — a given percentage price change produces a smaller percentage change in quantity demanded.

Relevance to revenue: if demand is inelastic, raising price increases total revenue (quantity falls proportionally less than price rises); if demand is elastic, raising price reduces total revenue.

4. Theory of the firm and market structures

Structure	Number of firms	Barriers to entry	Price-setting power
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Perfect competition	Many	None	None – firms are price takers
Monopolistic competition	Many	Low	Limited, via product differentiation
Oligopoly	Few	High	Significant, but interdependent with rivals
Monopoly	One	Very high/absolute	Substantial

4.1 Costs of production

Concept	Meaning
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Fixed cost	Does not vary with output in the short run (e.g. rent)
Variable cost	Varies directly with output (e.g. raw materials)
Marginal cost	The cost of producing one additional unit
Average cost	Total cost divided by output

A profit-maximising firm produces where marginal revenue = marginal cost.

5. National income and macroeconomic indicators

5.1 Measuring national income

Gross Domestic Product (GDP) measures the total value of goods and services produced within a country's borders in a period, and can be calculated three ways (all should give the same result):

- Output method: sum of value added across all sectors.
- Income method: sum of all incomes earned (wages, rent, interest, profit).
- Expenditure method: $GDP = C + I + G + (X - M)$, where C is consumption, I is investment, G is government spending, and $(X - M)$ is net exports.

5.2 Key macroeconomic indicators

Indicator	What it measures
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GDP growth rate	Change in the economy's total output over time
Inflation rate	Rate of increase in the general price level
Unemployment rate	Proportion of the labour force without work but seeking it
Balance of payments	Record of a country's transactions with the rest of the world

6. Money, banking, and inflation

6.1 Functions of money

Medium of exchange, unit of account, store of value, and standard for deferred payment.

6.2 Causes of inflation

Type	Cause
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Demand-pull	Aggregate demand grows faster than aggregate supply, pulling prices up
Cost-push	Rising input costs (wages, imported raw materials, energy) push producers to raise prices
Monetary	Excessive growth in money supply relative to output

6.3 The role of the central bank

In Kenya, the Central Bank of Kenya (CBK) controls monetary policy, primarily through the Central Bank Rate (CBR), open market operations, and the cash reserve ratio, aiming to maintain price stability and support economic growth.

7. Fiscal and monetary policy

Policy	Tools	Typical use to fight a recession
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Fiscal policy (government)	Government spending, taxation	Increase spending and/or cut taxes to boost

aggregate demand |
| Monetary policy (central bank) | Interest rates, money supply, reserve requirements | Lower interest rates to encourage borrowing and investment |

Trade-offs: expansionary policy that boosts growth and employment can also fuel inflation; contractionary policy that controls inflation can slow growth and raise unemployment — policymakers must balance these objectives.

8. International trade and the balance of payments

8.1 Why countries trade

Comparative advantage: a country should specialise in producing goods for which it has the lowest opportunity cost, and trade for the rest, even if it could produce everything more efficiently than its trading partners (absolute advantage is not required for beneficial trade).

8.2 The balance of payments

Account	Records
Current account	Trade in goods and services, income flows, transfers
Capital and financial account	Investment flows, loans, reserve asset changes

A current account deficit (imports exceeding exports plus net income/transfers) must be financed by a corresponding surplus on the capital and financial account (e.g. foreign borrowing or investment inflows).

9. Economics and investment analysis

Economic indicators feed directly into investment decisions:

- Interest rates affect the discount rate used in valuation models — higher rates reduce the present value of future cash flows, generally pressuring asset prices downward.
 - Inflation erodes real returns; investors demand higher nominal returns to compensate.
 - Exchange rates affect the returns on foreign investments when converted back to the investor's home currency.
 - GDP growth and business-cycle position influence sector rotation — cyclical sectors (e.g. construction, manufacturing) tend to outperform in expansions; defensive sectors (e.g. utilities, staples) tend to hold up better in downturns.
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10. Full worked question

Scenario (original): An economy is experiencing rising inflation alongside sluggish GDP growth. Analysts are debating whether the central bank should raise the Central Bank Rate.

Required: (a) Explain, using economic reasoning, how raising the Central Bank Rate could reduce inflation. (b) Identify one risk this policy poses to GDP growth. (c) Explain one implication for an investor holding long-term government bonds.

Model answer:

(a) Raising the Central Bank Rate increases the cost of borrowing across the economy (commercial banks raise their own lending rates in response). This discourages both consumer borrowing (for spending) and business borrowing (for investment), reducing aggregate demand. As aggregate demand growth slows relative to aggregate supply, the upward pressure on the general price level eases,

reducing demand-pull inflation.

(b) The same higher cost of borrowing that dampens inflation also discourages investment and consumption spending that would otherwise support GDP growth — the policy therefore risks slowing growth further, or even tipping a weak economy into contraction (a classic trade-off between price stability and growth).

(c) Bond prices move inversely to interest rates. When the Central Bank Rate rises, market interest rates on newly issued bonds tend to rise too, making existing bonds with lower fixed coupon rates less attractive by comparison; their market price falls to bring their yield in line with the new rate environment. An investor holding long-term government bonds would therefore see the market value of their holding decline, even though the bonds' coupon payments remain contractually unchanged.

11. Self-assessment question bank (original questions, with model answers)

Q1. Define "opportunity cost" and illustrate it with an example relevant to a government's budget decision. *(3 marks)*

Model answer: Opportunity cost is the value of the next best alternative forgone when a choice is made. Example: if a government spends KSh 10 billion building a new highway, the opportunity cost might be the hospital equipment or teacher salaries that the same funds could otherwise have financed.

Q2. Using demand and supply analysis, explain the likely effect on the equilibrium price and quantity of maize if a severe drought reduces harvests. *(4 marks)*

Model answer: A drought reduces the supply of maize at every price level, shifting the supply curve to the left. With demand unchanged, the new equilibrium occurs at a higher price and a lower quantity than before — the equilibrium price of maize rises and the equilibrium quantity traded falls.

Q3. Distinguish between a normal good and an inferior good using income elasticity of demand. *(3 marks)*

Model answer: A normal good has positive income elasticity of demand — demand for it rises as consumer income rises. An inferior good has negative income elasticity of demand — demand for it falls as income rises (consumers switch to preferred substitutes they can now afford).

Q4. Explain one key characteristic that distinguishes an oligopoly from a monopolistically competitive market. *(3 marks)*

Model answer: In an oligopoly, a small number of firms dominate the market and are mutually interdependent — each firm's pricing and output decisions must account for how rivals are likely to react. In monopolistic competition, there are many firms, and each is small enough relative to the market that its decisions do not provoke a direct strategic response from any single rival.

Q5. State the expenditure-method formula for GDP and briefly explain each component. *(4 marks)*

Model answer: $GDP = C + I + G + (X - M)$, where C is household consumption spending, I is gross investment spending by firms (including on capital goods and inventory), G is government spending on goods and services, and $(X - M)$ is net exports — the value of exports minus the value of imports.

Q6. Distinguish between demand-pull and cost-push inflation. *(3 marks)*

Model answer: Demand-pull inflation occurs when aggregate demand grows faster than the economy's capacity to supply goods and services, pulling the general price level up. Cost-push inflation occurs when rising costs of production (e.g. wages, imported inputs, energy) lead producers to raise prices to maintain margins, independent of demand conditions.

Q7. Explain how a cut in the Central Bank Rate is intended to stimulate an economy in recession. *(3

marks)*

Model answer: A lower Central Bank Rate reduces the cost of borrowing for commercial banks, who in turn lower lending rates to consumers and businesses. Cheaper borrowing encourages consumer spending and business investment, increasing aggregate demand and supporting output and employment during a downturn.

Q8. Explain the principle of comparative advantage and why it justifies trade even between two countries where one is more efficient at producing everything. *(4 marks)*

Model answer: Comparative advantage holds that a country should specialise in producing the good for which it has the lowest opportunity cost relative to its trading partner, even if it has an absolute advantage (is more efficient) in producing everything. Both countries gain from trade because each is forgoing less by specialising in what it is relatively best at and trading for the rest, increasing total output and consumption possibilities for both compared with each producing everything itself.

Q9. Explain why rising interest rates generally put downward pressure on the prices of previously issued fixed-coupon bonds. *(3 marks)*

Model answer: When interest rates rise, newly issued bonds offer higher coupon rates that are more attractive than the fixed coupons on existing bonds. To remain competitive, the market price of existing lower-coupon bonds must fall, so that their effective yield to a new buyer rises to match prevailing market rates — hence bond prices and interest rates move inversely.

Q10. A country records a current account deficit for the year. Explain what this means and how it must be financed. *(3 marks)*

Model answer: A current account deficit means the value of a country's imports of goods and services, plus net income and transfer outflows, exceeds the value of its exports and net inflows over the period. It must be financed by a corresponding net inflow on the capital and financial account — for example, foreign borrowing, foreign direct investment inflows, or a drawdown of foreign exchange reserves.

12. Exam technique and revision checklist

- For demand/supply-shift questions, always state which curve moves, in which direction, and why, before describing the effect on equilibrium price and quantity.
- For elasticity questions, compute the percentage changes explicitly rather than working only with raw figures — examiners award marks for correctly showing the percentage-change calculation.
- Link macroeconomic concepts to investment implications wherever a question allows it — CIFA examiners reward candidates who connect economic theory to its relevance for an investment analyst.
- Always state assumptions explicitly (e.g. "ceteris paribus," "in the short run") when applying a model — this shows the examiner you understand the model's limits.

Quick revision summary — one line per topic:

1. Economics studies how scarce resources are allocated among competing wants; opportunity cost is central to every decision.
2. Demand and supply curves interact to determine market equilibrium price and quantity.
3. Elasticity measures responsiveness — PED, YED, XED, and PES each answer a different "how responsive" question.
4. Market structures range from perfect competition to monopoly, differing in firm numbers, entry barriers, and pricing power.
5. GDP can be measured via output, income, or expenditure methods — all should reconcile.
6. Inflation can be demand-pull, cost-push, or monetary in origin.
7. Fiscal policy (government spending/taxation) and monetary policy (interest rates/money supply)

both manage aggregate demand, with growth–inflation trade-offs.

8. Comparative advantage justifies trade between countries even without absolute advantage.

9. A current account deficit must be offset by a capital/financial account surplus.

10. Interest rates, inflation, exchange rates, and the business cycle all feed directly into investment valuation and sector allocation decisions.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.

